

ZEPHIRAX INDUSTRIAL HOLDINGS, LLC

FINANCIAL STATEMENTS

For the Year Ended December 31, 2024

(With Independent Auditor's Report Thereon)

INDEPENDENT AUDITOR'S REPORT

To the Members of

Zephirax Industrial Holdings, LLC

Opinion

We have audited the financial statements of Zephirax Industrial Holdings, LLC, which comprise the balance sheet as of December 31, 2024, and the related statements of income and members' equity and cash flows for the year then ended, and the related notes to the financial statements. In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024, in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists.

In performing an audit in accordance with GAAS, we exercise professional judgment and maintain professional skepticism throughout the audit. We identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks; obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control; evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as the overall presentation of the financial statements; and conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Signed: Hartwell & Vance, CPAs
Columbus, Ohio
February 18, 2025

BALANCE SHEET
December 31, 2024

ASSETS

Cash - operating	\$434,278
Accounts receivable - trade	\$386,152
Allowance for credit losses	\$(62,655)
Inventory - raw materials	\$66,182
Inventory - work in process	\$14,835
Inventory - finished goods	\$54,903
Prepaid expenses	\$29,197
Property and equipment	\$1,166,890
Accumulated depreciation	\$(460,681)
TOTAL ASSETS	\$1,629,101

LIABILITIES AND MEMBERS' EQUITY

Notes payable	\$678,738
Total liabilities	\$678,738
Members' equity	\$950,363
TOTAL LIABILITIES AND EQUITY	\$1,629,101

STATEMENT OF INCOME
For the Year Ended December 31, 2024

Revenue	\$2,998,842
Operating and other expenses	\$2,457,968
NET INCOME	\$540,874

STATEMENT OF CHANGES IN MEMBERS' EQUITY
For the Year Ended December 31, 2024

Members' equity, beginning of year	\$950,363
Net income	\$540,874
Member distributions	\$(540,874)
MEMBERS' EQUITY, END OF YEAR	\$950,363

STATEMENT OF CASH FLOWS
For the Year Ended December 31, 2024

Cash flows from operating activities	
Net income	\$540,874
Depreciation	\$190,844
Net cash provided by operating activities	\$731,718
Cash flows from investing activities	
Purchases of property and equipment	\$(478,732)
Net cash used in investing activities	\$(478,732)
Cash flows from financing activities	
Proceeds from debt issuance	\$678,738
Member distributions	\$(540,874)
Net cash provided by financing activities	\$137,864
Net change in cash and equivalents	\$390,850
Cash and equivalents, beginning	\$43,428
CASH AND EQUIVALENTS, END OF YEAR	\$434,278

NOTES TO FINANCIAL STATEMENTS

Note 1 - Nature of Business and Summary of Significant Accounting Policies

Zephirax Industrial Holdings, LLC (the Company) prepares its financial statements on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America.

Revenue is recognized as the Company satisfies its performance obligations.

The preparation of financial statements requires management to make estimates and assumptions that affect reported amounts; actual results could differ from those estimates.

Inventories, consisting of raw materials, work in process, and finished goods, are stated at the lower of cost and net realizable value. Cost is determined using the first-in, first-out (FIFO) method.

Property and equipment are stated at cost. Depreciation is computed using the straight-line method over estimated useful lives of the assets, ranging from 3 to 10 years.

The Company is a limited liability company. Taxable income or loss passes through to its members; accordingly, the financial statements include no provision for federal income taxes.

Note 2 - Receivables

Receivables at December 31, 2024 consist of the following:

Accounts receivable - trade	\$386,152
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Note 3 - Property and Equipment

Property and equipment at December 31, 2024 consist of the following:

Property and equipment	\$1,166,890
Less accumulated depreciation	\$(460,681)
Property and equipment, net	\$706,209
Depreciation expense for 2024	\$190,844

Note 4 - Long-Term Debt

Term loan payable to Zarvale Bank, bearing interest at 6.00%, payable monthly through 12/31/2042.

Balance at December 31, 2024	\$678,738
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Note 5 - Subsequent Events

Management has evaluated subsequent events through the date the financial statements were available to be issued and noted no matters requiring disclosure.